

## **Calendar Lines 1-2**

**Case Name:** *Christian Humanitarian Aid, Inc. v. AM Star Construction, Inc. et al.*

**Case No.:** 22CV396170

### **I. BACKGROUND**

This case involves a dispute over an architectural services contract and related agreements entered into by plaintiff Christian Humanitarian Aid (“CHA”) and defendants AM Star Construction, Inc. (“AMS”), Michael Achkar (“Achkar,” the owner of AMS), and Shultz & Associates (the architect for the project). CHA filed the original complaint in this matter on March 23, 2022. It filed the operative First Amended Complaint (“FAC”), adding defendant Link Corporation (“Link”), on March 15, 2023. The FAC states claims for: (1) Fraud in the Inducement (against AMS, Achkar, and various Does); (2) Fraud and Deceit (against AMS, Achkar, and various Does); (3) Breach of Contract (against AMS and various Does); (4) Breach of the Implied Covenant of Good Faith and Fair Dealing (against AMS and various Does); (5) Professional Negligence (against Shultz & Associates); (6) Breach of Contract (against Shultz & Associates); (7) Breach of Contract (against Link); (8) Negligence (against Link); and (9) Declaratory Relief (against AMS and various Does, seeking a declaration as to the validity of a mechanic’s lien).

Shultz & Associates filed a cross-complaint on May 25, 2023, a first amended cross-complaint on September 27, 2023, and a second amended cross-complaint on April 8, 2024.

AMS and Achkar filed a verified cross-complaint on July 25, 2023. This cross-complaint stated eleven causes of action for: (1) Breach of Contract (against CHA and cross-defendants Archangel Michael and Saint Mercurius Coptic Orthodox Church (the “Church”), St. Michael Preschool and Infant Care (the “Preschool”), and various Roes); (2) Breach of the Implied Covenant of Good Faith and Fair Dealing (against the same parties); (3) Foreclosure of Mechanic’s Lien (against CHA and various Roes); (4) Fraud and Deceit (false promise without intent to perform) (against CHA, the Church, the Preschool, and various Roes); (5) Fraud and Deceit (intentional misrepresentation) (against CHA, the Church, the Preschool, cross-defendant Bishoy William, and various Roes); (6) Equitable Indemnity (against Shultz & Associates and various Roes); (7) Contribution (against Shultz & Associates and various Roes); (8) Assault and Battery (against CHA, the Church, the Preschool, Bishoy William, and various Roes); (9) Assault and Battery (against CHA, the Church, the Preschool, Bishoy William, cross-defendant Mary William, and various Roes); (10) Intentional Infliction of Emotional Distress (against CHA, the Church, the Preschool, Bishoy William, and various Roes, based on the eighth cause of action); and (11) Intentional Infliction of Emotional Distress (against CHA, the Church, the Preschool, Bishoy William, Mary William, and various Roes, based on the ninth cause of action). The last four causes of action (Nos. 8-11) were alleged on behalf of plaintiff Achkar alone. Attached to the cross-complaint as Exhibit A was a copy of the mechanics lien asserted by AMS.

CHA, the Church, the Preschool, Bishoy William, and Mary William brought a demurrer to the first, second, fourth, fifth, eighth, ninth, tenth, and eleventh causes of action in the AMS/Achkar cross-complaint, as well as a motion to strike portions of that pleading. On December 7, 2023, the court sustained the Church and the Preschool’s demurrer to the first, second, fourth, fifth, eighth, ninth, tenth, and eleventh causes of action; sustained CHA’s demurrer to the second, fourth, fifth, tenth, and eleventh causes of action; sustained Bishoy

William’s demurrer to the fifth cause of action; overruled Bishoy William’s demurrer to the tenth cause of action; and overruled Bishoy William and Mary William’s demurrer to the eleventh cause of action. The court granted AMS and Achkar leave to amend by January 2, 2024. The court denied the motion to strike.<sup>1</sup>

On January 2, 2024, AMS and Achkar filed the operative first amended cross-complaint (“FACC”). The FACC states the same eleven causes of action. There are four documents attached to the FACC as Exhibits A-D: Exhibits A and B purport to be English translations of Arabic-language documents, but no copies of the original documents are included; Exhibit C is a copy of the contract between CHA and AMS; Exhibit D is a copy of the mechanics lien that was previously attached to the original cross-complaint as Exhibit A.

Currently before the court is a demurrer and motion to strike portions of the FACC, filed by cross-defendants CHA, the Church, the Preschool, and Bishoy William (hereinafter, “Cross-Defendants”) on March 6, 2024. AMS and Achkar filed oppositions on June 18, 2024.

## **II. REQUESTS FOR JUDICIAL NOTICE**

Both sides have submitted requests for judicial notice. “Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory forms is that the matter to be noticed must be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307, citing *People v. Shamrock Foods Co.* (2000) 24 Cal.4th 415, 422, fn. 2.) It is the court, and not the parties, that determines relevance. Evidence Code section 453, subdivision (b), requires a party seeking notice to “[furnish] the court with sufficient information to enable it to take judicial notice of the matter.”

### **A. Cross-Defendants’ Requests**

Cross-Defendants have submitted two redundant requests for judicial notice, one in support of the demurrer and one in support of the motion to strike. Both seek judicial notice of the same three attached documents. (For future reference, parties can submit a single request for judicial notice in support of concurrently filed motions.)

Exhibits 1 and 2 are copies of two licenses issued to CHA by the California Department of Social Services in 2013 to operate an infant center (St. Michael Infant Care Center) and a daycare center (St. Michael Preschool Center), respectively. Cross-Defendants assert that these two documents can be noticed as official acts of the state under Evidence Code section 452, subdivision (c). While this may be true, the documents have limited relevance here, as they do not establish anything beyond the issuance of licenses in 2013. They do not, contrary to Cross-Defendants’ contention, establish that the Preschool was a separate entity from the Church in November 2019, when CHA and AMS entered into the architectural services contract attached as Exhibit C to the FACC.

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<sup>1</sup> The court takes judicial notice of its December 7, 2023 order on its own motion, under Evidence Code section 452, subdivision (d).

Exhibit 3 is a copy of the court's December 7, 2023 order, of which the court has already taken judicial notice.

Despite their limited relevance, the court grants judicial notice of Exhibits 1 and 2, under Evidence Code section 452, subdivision (d). As noted in footnote 1 above, the court also takes judicial notice of Exhibit 3.

### **B. AMS/Achkar Request**

AMS and Achkar request judicial notice of two documents, attached as Exhibits 1 and 2. Exhibit 1 consists of copies of articles of incorporation and statements of information filed by the Church. Exhibit 2 consists of copies of communications (emails) between the parties. AMS/Achkar assert that both exhibits can be judicially noticed under Evidence Code section 452, subdivision (h).

The court denies the request. Evidence Code section 452, subdivision (h), does not apply to either exhibit. (See *Gould v. Md. Sound Indus.* (1995) 31 Cal.App.4th 1137, 1145 [“Judicial notice under Evidence Code section 452, subdivision (h), is intended to cover facts which are not reasonably subject to dispute and are easily verified. These include, for example, facts which are widely accepted as established by experts and specialists in the natural, physical, and social sciences which can be verified by reference to treatises, encyclopedias, almanacs and the like or by persons learned in the subject matter.”].) Correspondence between private parties (Exhibit 2) does not qualify as establishing facts that are widely accepted and easily verified. Similarly, copies of corporate filings do not fall under subdivision (h)—nor do they fall under subdivision (c). (See *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 607-608 [applications and supporting documents filed by private parties with Department of Insurance were not official acts of department subject to judicial notice]; *Hughes v. Blue Cross of N. Cal.* (1989) 215 Cal.App.3d 832, 856, fn. 2 [Statement of Information, although on file with a government agency, is not subject to judicial notice as an official act under subdivision (c) because it was prepared by private parties, not the Secretary of State]; *People v. Thacker* (1985) 175 Cal.App.3d 594, 598-599 [copies of articles of incorporation, statement by domestic corporation, and notice of issuance of shares were materials prepared by a private person, merely on file with state agencies, and not official acts].)

## **III. DEMURRER TO THE AMS/ACHKAR FACC**

### **A. General Standards**

The court, in ruling on a demurrer, treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214 (*Committee*).) A plaintiff is not ordinarily required to allege “‘each evidentiary fact that might eventually form part of the plaintiff's proof . . . .’ [Citation.]” (*Ferrick v. Santa Clara University* (2014) 231 Cal.App.4th 1337, 1341.)

“Where a pleading includes a general allegation, such as an allegation of an ultimate fact, as well as specific allegations that add details or explanatory facts, it is possible that a conflict or inconsistency will exist between the more general allegation and the specific allegations.” (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1235 (*Perez*).) “To handle these contradictions, California courts have adopted the principle that specific allegations in a complaint control over an inconsistent general allegation.” (*Id.* at pp. 1235–1236.) “Under this principle, it is possible that specific allegations will render a complaint defective when the general allegations, standing alone, might have been sufficient.” (*Id.* at p. 1236.) “It is well established that in the context of a demurrer, specific allegations control over more general ones.” (*Chen v. PayPal, Inc.* (2021) 61 Cal.App.5th 559, 571-572 [citing *Perez*, among others].)

The court considers only the pleading under attack, any attached exhibits (which are considered part of the “face of the pleading”), and any facts or documents as to which judicial notice is granted. The court cannot consider extrinsic evidence in ruling on a demurrer or motion to strike. This includes declarations. The court has only considered the declarations from Cross-Defendants’ counsel to the extent that they describe compliance with the procedural meet-and-confer requirements. The court has not considered the attached exhibits. The court notes that Code of Civil Procedure sections 430.41(a) and 435.5(a) both require the parties to meet and confer “in person, by telephone, or by video conference” before a party may file a demurrer or motion to strike. That does not appear to have been done here. Simply sending an email, as described in the declarations, does not comply with the plain terms of these statutes. Nevertheless, as both statutes state that a determination by the court that the meet-and-confer process was inadequate “shall not” be grounds for overruling a demurrer or denying a motion to strike, the court will still consider the merits.

Where, as here, a demurrer is to an amended complaint, the court “may consider the factual allegations of prior complaints, which a plaintiff may not discard or avoid by making contradictory averments, in a superseding, amended pleading.” (*Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1034, internal quotations omitted; see also *Larson v. UHS of Rancho Springs, Inc.* (2014) 230 Cal.App.4th 336, 343 [noting “well-established precedent” allowing “courts to consider omitted and inconsistent allegations from earlier pleadings when ruling on a demurrer”]; *Doe v. United States Youth Soccer Assoc.* (2017) 8 Cal.App.5th 1118, 1122 [citing *Berg & Berg*].) This means the court can and still does consider the verified allegation in paragraph 14 of the original cross-complaint that the only parties to the contract at issue here—a written agreement entered into “[o]n or about November 18, 2019”—were AMS and CHA. This allegation controls over the allegation in paragraph 15 of the FACC asserting that the Preschool was an additional party to the contract.

## **B. Pleading Based on “Information and Belief”**

As noted in the court’s December 7, 2023 order, a party cannot, “by placing the incantation ‘information and belief’ in a pleading, [ ] insulate herself or himself” from the requirements of Code of Civil Procedure section 128.7, irrespective of whether the pleading is verified or unverified. (*Mabie v. Hyatt* (1998) 61 Cal.App.4th 581, 596, fn. 9.) Additionally, even when it is permissible to allege an ultimate fact on the basis of information and belief, a party cannot simply include the phrase “information and belief” without more. (*Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149, 1158-59.) To plead an allegation on the basis of information and belief properly, a plaintiff must allege the facts or

information that led him or her to infer or believe the truth of the ultimate factual allegation. (*Gomes, supra*, 192 Cal.App.4th at pp. 1158-59; see also *Brown v. USA Taekwondo* (2019) 40 Cal.App.5th 1077, 1106 [“where factual allegations are based on information and belief, the plaintiff must allege ‘information that “lead[s] [the plaintiff] to believe that the allegations are true.””].) Allegations made only on “information and belief” that lack supporting information are not accepted as true on demurrer.

The “information and belief” allegations in paragraphs 3, 5, 28, 38, 39, 92, and 106 of the FACC lack supporting information and are not accepted as true on demurrer. These allegations do not control over the prior verified allegation in paragraph 14 of the original cross-complaint—or the plain language on the face of the contract attached as Exhibit C to the FACC—establishing that AMS and CHA are the only parties to that contract. (See *Barnett v. Fireman’s Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 [“[T]o the extent the factual allegations conflict with the content of the exhibits to the complaint, we rely on and accept as true the contents of the exhibits and treat as surplusage the pleader’s allegations as to the legal effect of the exhibits.”].)

### **C. The Legal Basis for Cross-Defendants’ Demurrer**

Code of Civil Procedure section 430.60 states: “A demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded.” The rules of court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (See Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) [“Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”]; see also 5 Witkin, *Cal. Procedure* (5th ed., 2019) Pleading, § 953 [“Each ground of demurrer must be in a separate paragraph and must state whether the demurrer applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”].)

Additionally, “points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before.” (*Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273; see also *REO Broadcasting Consultants v. Martin* (1999) 69 Cal.App.4th 489, 500 [“This court will not consider points raised for the first time in a reply brief for the obvious reason that opposing counsel has not been given the opportunity to address those points.”].)

Cross-Defendants demur to the FACC’s first, second, fourth, and fifth causes of action on the ground that they fail to state sufficient facts. (See Notice of Demurrer and Demurrer, p. 3:1-27.)

### **D. Discussion**

#### **1. First Cause of Action**

The court SUSTAINS the demurrer to the first cause of action (breach of contract) on the ground that it fails to state sufficient facts against the Church and the Preschool.

“To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff’s performance of the contract or excuse for nonperformance, (3) the

defendant's breach, and (4) the resulting damage to the plaintiff." (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.) A non-party to a contract cannot be sued for breach of that contract. (See *Gold v. Gibbons* (1960) 178 Cal.App.2d 517, 519 ["Breach of contract cannot be made the basis of an action for damages against defendants who did not execute it and who did nothing to assume its obligations."]; see also *Clemens v. American Warranty Corp.* (1987) 193 Cal.App.3d 444, 452 ["Under California law, only a signatory to a contract may be liable for any breach."].)

As noted above (and in the court's prior order) specific allegations control over general ones, and AMS and Achkar remain bound by the specific allegation in paragraph 14 of the cross-complaint that the only parties to the contract at issue, signed on November 18, 2019, were AMS and CHA. This is consistent with the contract now attached as Exhibit C to the FACC, whose terms control over any contrary allegations. "The interpretation of a contract is a question of law unless the interpretation turns on the credibility of extrinsic evidence." (*Sierra Vista Regional Medical Center v. Bonta* (2003) 107 Cal.App.4th 237, 245.) The court concludes that the contract attached to the FACC as Exhibit C cannot be reasonably interpreted as involving any signatories other than AMS and CHA.

Notably, Article I.D. of the contract (drafted by AMS) states, "This Contract and the Contract Documents contain the entire agreement between the parties, and supersede all prior or contemporaneous written or oral communications. This Contract may not be changed or terminated orally, but only by an instrument in writing signed by the party against whom enforcement of such change or termination is sought."

Contrary to the opposition's arguments, the general allegations in paragraphs 4, 7, 8, 17, 23, 24, and 28 of the FACC do not support any finding that the Church or the Preschool are parties to the written contract between CHA and AMS. (See Opposition, pp. 3:10-6:24.) The contract itself shows that the only parties are CHA and AMS, and there is no support for the notion that any communications *prior to* or *contemporaneous with* the signing of the contract would somehow make the Church or the Preschool a party to the contract, or that any *post-signing* communications other than "an instrument in writing signed by" the Church or Preschool could alter the contract to make them parties. As the court explained in its prior order, allegations that changes were made or extra work performed at the "special" insistence or request of the Church or Preschool after the contract was signed are insufficient to make either entity a party to the contract. (See FACC, ¶¶ 20-23, 25; December 7, 2023 Order, p. 8:15-20.)

In short, AMS and Achkar have failed to amend the pleading to overcome the reasons for sustaining the prior demurrer to the first cause of action.

AMS and Achkar also fail (again) to explain how the first cause of action could be amended to state a breach of contract claim against the Church or the Preschool. (See *Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081; *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 ["The onus is on the plaintiff to articulate the 'specifi[c] ways' to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend 'only if a potentially effective amendment [is] both apparent and consistent with the plaintiff's theory of the case. [Citation.]'"].)

AMS and Achkar suggest in their opposition that the first cause of action for breach of *express* contract could be deemed abandoned as against the Church and Preschool, and that a new cause of action for breach of an *implied* contract could be alleged, but this does not present a viable amendment given the existing verified allegations and exhibits. (See Opposition at p. 6:27-7:13.) “An implied contract is one, the existence and terms of which are manifested by conduct.” (Civ. Code, § 1621.) An implied contract is by definition not based on oral or written statements. (See *California Emergency Physicians Medical Group v. PacifiCare of California* (2003) 111 Cal.App.4th 1127, 1134 [an implied contract “. . . consists of obligations arising from a mutual agreement and intent to promise where the agreement and promise have not been expressed in words. In order to plead a cause of action for implied contract, the facts from which the promise is implied must be alleged.”].) A written contract supersedes all suggestions or evidence of an implied contract. (See *Tollefson v. Roman Catholic Bishop* (1990) 219 Cal.App.3d 843, 855, disapproved on other grounds in *Scott v. Pacific Gas & Electric Co.* (1995) 11 Cal.4th 454, 474, fn. 5 [“California law presumes a written contract supersedes all prior or contemporaneous oral agreements. Parol evidence is admissible to establish the terms of the complete agreement of the parties only if the written agreement is not the complete and final embodiment of that agreement. Indeed, there simply cannot exist a valid express contract on one hand and an implied contract on the other, each embracing the identical subject but requiring different results and treatment.”] [internal quotations and citations omitted].)

Here, the written contract between CHA and AMS was the complete agreement and governed AMS’s work on the project; therefore, as a matter of law, there cannot be a different, *implied* contract involving the Church and the Preschool that also somehow embraced AMS’s work on the project.

The court DENIES further leave to amend the first cause of action as against the Church and the Preschool.

## **2. Second Cause of Action**

The court SUSTAINS the demurrer to the second cause of action (breach of the implied covenant of good faith and fair dealing) on the ground that it fails to state sufficient facts as against the Church or the Preschool.

“The covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party’s right to receive the benefits of the agreement actually made. The covenant thus cannot ‘be endowed with an existence independent of its contractual underpinnings.’ It cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of their agreement.” *Guz v. Bechtel National, Inc.* (2000) 24 Cal.4th 317, 349-350 [emphasis added].) “[T]he covenant is implied as a supplement to the express contractual covenants, to prevent a contracting party from engaging in conduct which (while not technically transgressing the express covenants) frustrates the other party’s rights to the benefits of the contract.” (*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031-1032 [emphasis added].)

Because neither the Church nor the Preschool are, or could reasonably be believed to be, a “contracting party” with AMS/Achkar, neither is subject to the implied covenant of good faith and fair dealing, which arises solely out of the written contract between CHA and AMS.

Given AMS/Achkar’s failure to cure the defect in the second cause of action, notwithstanding an extended opportunity to do so, the court DENIES further leave to amend.

### **3. Fourth and Fifth Causes of Action**

As in the original cross-complaint, the fourth and fifth causes of action in the FACC are fraud claims—for false promise and intentional misrepresentation, respectively. The fourth cause of action is now alleged only against CHA and the Preschool, while the fifth cause of action is now alleged only against CHA, the Preschool, and Bishop William. (See FACC, ¶¶ 42-62.) These two causes of action are no longer alleged against the Church.

“The elements of fraud are (1) the defendant made a false representation as to a past or existing material fact; (2) the defendant knew the representation was false at the time it was made; (3) in making the representation, the defendant intended to deceive the plaintiff; (4) the plaintiff justifiably relied on the representation; and (5) the plaintiff suffered resulting damages.” (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 792 [citation omitted].) “Fraud must be pleaded with specificity rather than with general and conclusory allegations. The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made.” (*Id.* at p. 793 [citation and quotation marks omitted].) Courts enforce the specificity requirement in consideration of its two purposes. The first purpose is to give notice to the defendant with sufficiently definite charges. (*Ibid.*) The second is to permit a court to weed out meritless fraud claims on the basis of the pleadings; thus, the pleading should be sufficient to enable the court to determine whether, on the facts pleaded, there is any prima facie foundation for the charge of fraud. (*Ibid.*)

The court SUSTAINS the Preschool’s demurrer to the fourth and fifth causes of action. AMS remains bound by the prior verified allegation in paragraph 14 of the original cross-complaint and the express terms of the contract now attached as Exhibit C to the FACC, establishing that AMS and CHA are the only parties to that contract. The contents of Exhibit C control over any allegation in the FACC that the Preschool “entered” into the agreement “executed in November 2019.” Exhibit C establishes that the Preschool is not a party to the agreement. Having drafted Exhibit C, AMS could not have any reasonable belief that the Preschool was a party to the contract. AMS also could not have reasonably or justifiably relied on any alleged statement by the Preschool that would somehow make it responsible for performing any act under the contract. Determining whether reliance was reasonable is a question of fact “[e]xcept in the rare case where the undisputed facts leave no room for a reasonable difference of opinion.” (*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1239.) This is one of those cases.

The opposition fails to demonstrate how the fourth or fifth causes of action could be amended to state sufficient facts against the Preschool. No effective amendment is apparent to



the court. The court therefore DENIES further leave to amend the fourth and fifth causes of action as alleged against the Preschool.

For the same reasons, the court SUSTAINS the demurrer to the fifth cause of action as against Bishoy William WITHOUT leave to amend. Like the Preschool, Bishoy William is not a party to Exhibit C, the contract that AMS drafted. AMS/Achkar could not have reasonably believed that he was a party to the contract nor could they have reasonably relied on any statement from any Cross-Defendant that he was somehow a party to the contract or would be responsible for performing under the contract. In addition, having alleged that their damages were caused by their reliance on CHA's false statements and failures to perform (FACC, ¶¶ 42-47 and 52-58), AMS and Achkar cannot simultaneously allege that their damages were caused by reliance on a statement made by Bishoy William that he was an ordained priest in good standing. Indeed, as previously addressed in the court's order sustaining the demurrer to the original cross-complaint, this cause of action fails to allege any causal connection between Bishoy William's alleged misrepresentation and any resulting damages. (December 7, 2023 Order, p. 13:11-22.)

As for CHA, the court OVERRULES the demurrer to the fourth and fifth causes of action as against this sole cross-defendant. While the allegations in both causes of action fail to state sufficient facts to the extent that they suggest that Cross-Defendants made false statements or promises about either the Preschool or Bishoy William's nonexistent obligations under the contract, the court finds that the fourth and fifth causes of action sufficiently allege—albeit redundantly—that CHA made false promises about its own performance under the contract. (See FACC, ¶¶ 42-47 and 53-58.)

CHA's argument that the fourth and fifth causes of action are "subsumed" by the breach of contract allegations is not persuasive. "[I]t has long been the rule that where a contract is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for the fraud." (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.) "It is a truism that contract remedies alone do not address the full range of policy objectives underlying the action for fraudulent inducement of contract. In pursuing a valid fraud action, a plaintiff advances the public interest in punishing intentional misrepresentations and in deterring such misrepresentations in the future. Because of the extra measure of blameworthiness inhering in fraud, and because in fraud cases we are not concerned about the need for 'predictability about the cost of contractual relationships', fraud plaintiffs may recover 'out-of-pocket' damages in addition to benefit-of the-bargain damages." (*Id.* at p. 646 [internal citation omitted].) Whether AMS's reliance on CHA's alleged promises about CHA's own performance was reasonable presents a question of fact.

CHA's argument that both causes of action are not alleged against it with sufficient specificity is also not persuasive.<sup>2</sup> The allegations are no longer made on information and belief, and more detail is provided in the FACC as to CHA. The allegations incorporated by reference (those not made on information and belief) also provide more details, as does the CHA-AMS contract now attached as Exhibit C to the FACC. Collectively, the court finds that

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<sup>2</sup> The decision in *Magpali v. Farmers Group* (1996) 48 Cal.App.4th 471, 481, cited by CHA, does not support its argument. That decision involved a review of a motion for nonsuit granted during trial. It has nothing to say about pleading requirements. The question of whether AMS/Achkar can ultimately prove their allegations is irrelevant on a demurrer.

this new factual detail in the FACC is sufficient to support these causes of action against CHA. Less specificity is required where “defendant must necessarily possess full information concerning the facts of the controversy.” (See *Committee, supra*, 35 Cal.3d at p. 216.) CHA possesses full information regarding its own statements and performance relating to the CHA-AMS contract.

#### **IV. MOTION TO STRIKE PORTIONS OF THE AMS/ACHKAR FACC**

##### **A. General Standards**

Under Code of Civil Procedure section 436, a court may strike out any irrelevant, false, or improper matter inserted into any pleading or strike out all or part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. The grounds for a motion to strike must appear on the face of the challenged pleading or from matters of which the court may take judicial notice. (Code Civ. Proc., § 437(a); see also *City and County of San Francisco v. Strahlendorf* (1992) 7 Cal.App.4th 1911, 1913.) In ruling on a motion to strike, the court reads the complaint as a whole, all parts in their context, and assumes the truth of all well-pleaded allegations. (See *Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63, citing *Clauson v. Super. Ct.* (1998) 67 Cal.App.4th 1253, 1255.)

A motion to strike may be brought against a portion of a cause of action that is purportedly defective—*e.g.*, because it seeks an improper remedy. (See *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680.) At the same time, as courts have observed, “we have no intention of creating a procedural ‘line item veto’ for the civil defendant.” (*Id.* at p. 1683.)

Cross-Defendants move to strike all or portions of paragraphs 17, 28, 49, and 60 of the FACC, as well as portions of the FACC’s prayer. (See March 6, 2024 Notice of Motion and Motion, pp. 2:13-6:8.)

##### **B. Outcome**

The motion to strike portions of paragraph 17, part of the general allegations, is DENIED. Cross-Defendants have failed to show that the allegations that CHA was a party to the CHA-AMS contract are irrelevant, false, or improper.

The motion to strike portions of paragraph 28, part of the first cause of action, is DENIED as MOOT, in light of the court’s ruling on the demurrer as to the Church.

The motion to strike paragraph 49, part of the fourth cause of action, is DENIED as MOOT, in light of the court’s ruling on the demurrer as to the Preschool.

The motion to strike paragraph 60, part of the fifth cause of action, is DENIED as MOOT, in light of the court’s ruling on the demurrer as to the Preschool.

The motion to strike paragraph 8 of the FACC’s prayer is DENIED as MOOT, in light of the court’s ruling on the demurrer to the fourth cause of action as to the Preschool.

The motion to strike paragraph 11 of the FACC’s prayer is DENIED as MOOT, in light of the court’s ruling on the demurrer as to Bishop William and the Preschool. Additionally,

Cross-Defendants have not established that there is no basis for seeking exemplary damages against Roes 1 through 10.

The court DENIES the motion to strike paragraph 30 of the FACC's prayer. (See Code Civ. Proc., § 435.5(a)(4)(b).) Having chosen not to move to strike this language when it appeared in the original cross-complaint, Cross-Defendants may not do so now.

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### **Calendar Line 3**

**Case Name:** *Dana Lyn Banks v. A Tool Shed, Inc. et al.*

**Case No.:** 22CV409237

## **I. BACKGROUND**

This is a dispute over the rental of landscaping and construction equipment. Plaintiff Dana Banks, who is self-represented, rented equipment from defendant A Tool Shed, Inc. (“ATS”) and now sues for breach of contract and related causes of action. Banks filed her complaint on December 29, 2022, naming three defendants: ATS, Robert H. Pedersen, and Rob W. Pedersen. The complaint states five causes of action: (1) Breach of Contract; (2) “Unauthorized charges to credit card on file with A Tool Shed”; (3) Breach of the Implied Covenant of Good Faith and Fair Dealing; (4) “Unfair Debt Collection Action”; and (5) “Disparagement and Emotional Distress.” Although the complaint named three defendants, all five causes of action were asserted only against ATS.

Previously, the court heard two matters in this case: (1) a combined demurrer and motion to strike portions of the complaint, filed by the individual defendants, and (2) a “Motion for Judgment and Sanctions,” filed by Banks. The court sustained the demurrer to all five causes of action with 10 days’ leave to amend, agreeing with defendants that the causes of action “fail[ed] to state sufficient facts against the individual defendants, Robert H. Pedersen and Rob W. Pedersen.” (March 5, 2024 Order, p. 4:18-23.) The court also denied defendants’ motion to strike and denied Banks’ “Motion for Judgment and Sanctions.” On March 7, 2024, defendants served a notice of entry of the court’s March 5, 2024 order on Banks.

No amended complaint has been filed by Banks. Currently before the court are two matters: (1) Defendants’ ex parte application for an order dismissing the individual defendants, and (2) Banks’s noticed motion for leave to file an amended complaint and “to reconsider” the court’s March 5, 2024 ruling on the demurrer. The application and motion were both filed on March 27, 2024. Banks submitted an opposition to the ex parte application on March 27, 2024. On March 28, the court informed the parties that the court would consider the ex parte application and the motion together on the noticed hearing date of July 2, 2024, given the overlapping issues.

## **II. REQUEST FOR JUDICIAL NOTICE**

Defendants have submitted a request for judicial notice with their opposition to Banks’s motion. “Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory forms is that the matter to be noticed be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307 [citing *People v. Shamrock Foods Co.* (2000) 24 Cal.4th 415, 422, fn. 2].) It is the court, and not the parties, that determines relevance. Evidence Code section 453, subdivision (b), requires a party seeking notice to “[furnish] the court with sufficient information to enable it to take judicial notice of the matter.”

Defendants request that the court take judicial notice of five documents pursuant to Evidence Code section 452, subdivision (d): Exhibits A-E. Exhibit A is the court’s March 5, 2024 order. Exhibit B is a copy of defendants’ March 27 ex parte application. Exhibit C is the